

TENTATIVE RULING:

The Court issued its final order on the Motion to Tax Costs. No appearance is required and this date is vacated.

Law & Motion

3. 9:00 AM CASE NUMBER: C22-01689
CASE NAME: BRIAN SWEET VS. EVENT CORPORATION
***HEARING ON MOTION IN RE: ORDER APPROVING SETTLEMENT**
FILED BY: SWEET, BRIAN
TENTATIVE RULING:

Brian Sweet moves for approval of the settlement of his PAGA suit against defendant Event Corporation.

A. Background of the Case and Terms of Settlement

This a PAGA case, alleging a variety of violations of the Labor Code concerning failure to provide rest and meal breaks, failure to pay for off-the-clock work, failure to reimburse business expenses and cascading derivative violations. Plaintiff has given notice to the LWDA. The complaint was filed June 12, 2023. There is no class action, only a PAGA claim.

The total settlement payment is \$100,000. This is composed of attorney's fees of \$33,333.33, litigation costs of \$11,935.88, and \$3,450 in costs to the settlement administrator (ILYM Group). The remaining amount would be a PAGA penalty of \$51,280.79, which would be apportioned 75% to the LWDA and 25% to the aggrieved employees, i.e., \$38,547.51 to the LWDA and \$12,849.17 to the aggrieved employees. There is no enhancement payment for Mr. Sweet.

The settlement indicates that there are an estimated 130 aggrieved employees and 3,510 pay periods at issue. The payments from the employee share of the penalty will be distributed among the employees based on the number of pay periods each individual worked during the PAGA period.

Plaintiff's counsel attests that they engaged in extensive arms-length settlement negotiations. Informal discovery was undertaken. Counsel's declarations provide a general discussion of the strengths and weaknesses of the case. They estimate the maximum potential recovery at \$351,250, and explain why the settlement is justified.

Plaintiff provided required notices to the LWDA of the initial claims and of the proposed settlement.

The settlement provides a process for mailing the notices to the aggrieved employees, who will not have to submit a claim, along with a process for following up on returned mail. Because this is a PAGA settlement, not a class action, there is no opportunity to object or opt out.

The settlement provides that the value of checks uncashed after 180 days will be turned over to the State Controller's Office Unclaimed Property Division in the names of the aggrieved employees.

The settlement releases any claims under PAGA that “all claims for PAGA penalties arising during the PAGA Period that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint and the PAGA Notice dated February 17, 2023” (The PAGA period is December 4, 2020 through July 2, 2024.) Limitation to those claims with the “same factual predicate” as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 [“A court cannot release claims that are outside the scope of the allegations of the complaint.” “Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint’ is impermissible.” (*Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.) Similarly, in a PAGA case, the release is limited to claims set forth in the LWDA notice.

B. Standards for Review of a PAGA Settlement

Settlements in PAGA cases must be approved by the court. (Labor Code § 2699(s)(2).) The Court of Appeal’s decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the “fair, reasonable, and adequate” standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess “the fairness of the settlement’s allocation of civil penalties between the affected aggrieved employees[.]” (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 46, 63.)

C. Application to this settlement

Plaintiff indicates that the settlement is fair and was evaluated by counsel based on adequate information and arms-length negotiation. Even assuming success on the merits of each claim, PAGA gives the court discretion to reduce penalties for a variety of reasons, including where “based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory.” (Labor Code, § 2699(e)(2).) These factors make the result hard to predict. Considering counsel’s analysis, the Court finds that the recovery is fair, reasonable, and adequate.

Labor Code section 2699(k)(1) provides that a prevailing employee in a PAGA action may recover attorney’s fees. Plaintiff seeks one-third of the total settlement amount as fees, relying on the “common fund” theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar

cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.) Although *Lafitte* concerns a class action, not a PAGA-only case, this Court views the use of a lodestar cross-check as appropriate here.

Plaintiff has conducted a lodestar cross-check. Counsel calculate 230.5 hours, at hourly rates ranging from \$250 to \$1050, depending on the attorney. This results in a lodestar of approximately \$127,192.50, with an implied negative multiplier. Without necessarily endorsing every individual component of the lodestar, it is clear in this case that no adjustment is required.

The statute does not expressly address how the 25% plaintiff’s share of the penalties is to be allocated among all of the aggrieved employees. (*Iskanian v. CLS Transp. Los Angeles, LLC* (2014) 59 Cal.4th 348, 382.) Allocation based on pay periods is reasonable here.

Costs of \$11,935.88 are sought. They are reasonable and are approved.

The administrator’s costs of \$3,450 are reasonable and are approved.

D. Conclusion

The Court finds that the settlement is fair, reasonable, and adequate, and grants the motion to approve.

The Court will sign the proposed order previously submitted. In addition, the Court will add a compliance hearing for a suitable date (after the settlement has been implemented). One week before the compliance hearing, counsel shall file a compliance statement. 5% of the attorney’s fees shall be withheld by the Administrator pending the compliance hearing.

4. 9:00 AM CASE NUMBER: C23-02629
CASE NAME: WENDY GLASS VS. NAVNEET BAL
***HEARING ON MOTION IN RE: TO BE RELIEVED AS COUNSEL**
FILED BY: BAL, NAVNEET K
TENTATIVE RULING:

Counsel for Defendants Harvrinder Singh Bal, East Bay Trans, Navneet K. Ball, and Haver Trans seek to withdraw as counsel in this matter. They have provided a declaration. The Court received no filings from any other interested parties.

For good cause, the Court now **grants** the Motion to Be Relieved as Counsel. The Court advises Defendants that corporations may not represent themselves.

5. 9:00 AM CASE NUMBER: C23-03039
CASE NAME: GERALD BEWLEY VS. DIABLO SOLAR SERVICES INC.
***HEARING ON MOTION FOR DISCOVERY COMPEL DEFENDANT DIABLO SOLAR SERVICES, INC. TO PROVIDE FURTHER RESPONSES TO FORM INTERROGATORIES (SET ONE)**